

OCTOBER 5, 2026 · INVESTMENT COMMITTEE · DRAFT FOR DISCUSSION

Project Equity Belt

Midwest Specialized Logistics Platform

A **\$206M** distressed-for-control roll-up of Dayton–Springfield, Ohio heavy-haul and construction-logistics carriers. Every employee owns equity. The platform is anchored by dedicated freight to Arsenal-1 and Blackstone's QTS data center network. **Tactical Opportunities** leads the operating company; **Blackstone Infrastructure Partners** owns the fleet and terminal property company.

\$206M total capitalization ⁽⁸⁾	\$106M Blackstone equity: Tac Opps \$61M, BIP \$45M ⁽⁸⁾	52.7% OpCo gross IRR, base case (5.4x) ⁽⁸⁾	13.7% PropCo gross IRR, contracted (1.6x) ⁽⁸⁾	\$48k average employee payout, about 9 months' pay ⁽⁵⁾⁽⁸⁾
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COMMITTEE ASK: PHASE 1 APPROVAL BEFORE NOVEMBER 3

\$48M of immediate deployment to establish the platform while carrier distress and the Springfield layoffs are front of mind: (i) **\$25M** of rescue (DIP) loans across 2–3 Midwest Chapter 11 carriers, with the right to credit-bid the loans as purchase price (Tac Opps); (ii) **\$20M** of Chapter 7 fleet and yard purchases from trustees (BIP PropCo); (iii) **\$3M** for diligence, the diesel hedge program and Ownership Works program setup. Phase 2 (the platform acquisition, stalking-horse bids and add-ons; the remaining \$158M) returns to committee in Q1 2027.

Situation

LABOR DISLOCATION

Nearly **1,400 workers** were laid off at the Navistar truck plant in Springfield, OH, enough to erase a year of job growth in greater Dayton. The plant transferred to Roshel on Oct 2, and rehiring is uncertain.⁽¹⁾ That leaves a trained pool of assembly workers, technicians and drivers available within 25 miles.

CARRIER DISTRESS

At least **16 U.S. carriers** filed for bankruptcy from late August through September as diesel reached a record **\$6.37/gal**. Eight were midsize-or-larger Chapter 11s; the rest were mostly 1–6 truck Chapter 7 liquidations.⁽²⁾ Ohio filings in 2026 include Platinum Express (Chapter 11, May) and TJ Trucking (Chapter 11, July).⁽⁹⁾

DEMAND ANCHORS

Arsenal-1 (Anduril, Pickaway County) is producing from Building 1. Building 2 (more than 924k sq ft) is under construction, and the site has a phased buildout to 2035 with 4,008 jobs.⁽³⁾ The Central Ohio data center corridor needs oversize freight: transformers, switchgear and modular electrical rooms. QTS is co-owned by BIP and BREIT.⁽⁴⁾

II Investment thesis

- **Buy below replacement cost at a late-cycle low.** A Dalio-style late-cycle energy shock is forcing leveraged small operators to sell. Bankruptcy routes acquire carriers at 2.5–3.5x normalized EBITDA and fleets at 50–65% of replacement cost.
- **Specialized, contracted freight, not commodity dry van.** Dedicated contracts with Arsenal-1 contractors and QTS carry fuel-surge pass-through and multi-year terms, which reduces exposure to the spot-rate cycle.
- **Employee ownership as the operating lever.** Under the Ownership Works model, all ~1,500 employees receive equity. At KKR's C.H.I. Overhead Doors, the same model accompanied a 4x EBITDA increase and an average \$175k payout to hourly workers.⁽⁵⁾⁽⁶⁾ The main value driver in trucking is retention: we underwrite driver turnover falling from 60% to 20%.
- **Cross-platform synergy within Blackstone.** BIP's QTS ownership provides a captive anchor customer. BIP's long-duration capital is suited to the hard assets and to an eventual sale to an employee stock ownership plan (ESOP).
- **Policy tailwinds.** The bipartisan Employee Equity Investment Act (Rubio / Moore / Van Hollen) and the Empowering Small-Business Ownership Act would lower the cost of ESOP conversion and open Defense Department contracting to ESOPs. Neither is in the base case.⁽⁵⁾⁽⁷⁾

III Transaction structure: why Tac Opps and BIP together

Tac Opps capacity is constrained, so the deal is split along asset lines. BIP takes the hard, contracted, long-lived assets. Tac Opps takes the operating turnaround and the equity upside. This cuts the Tac Opps check from \$111M (single-fund structure) to \$61M.

OPCO · TACTICAL OPPORTUNITIES

- Carrier operations, contracts, dispatch, CDL school, maintenance shops
- Rescue (DIP) loans, credit bids and stalking-horse bids
- Employee equity pool: 18% of exit equity value
- \$45M senior debt (about 2.0x YO EBITDA); \$61M equity
- Exit: sale to a strategic or sponsor (Exit A), or a 100% S-corp ESOP (Exit B)

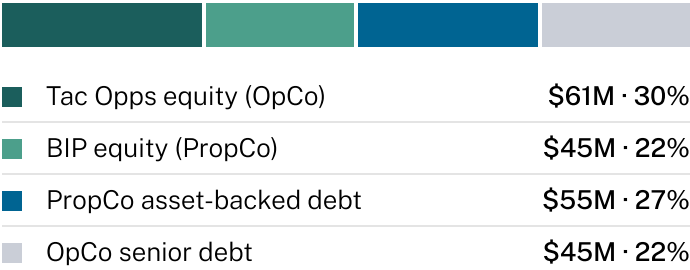
PROPCO / FLEETCO · INFRASTRUCTURE PARTNERS

- \$70M of tractors and trailers (including Chapter 7 purchases) and \$30M of terminals, yards, a transload facility and the training campus
- Triple-net master lease to OpCo: 13% of asset value, 2.5% annual escalator
- Lease payments backed by the Arsenal-1 and QTS dedicated contracts
- \$55M asset-backed debt at 7.0%; \$45M equity; 6% fleet replacement reserve
- Long hold; can provide acquisition debt for an Exit B ESOP buyout

IV Sources & uses (8)

Uses	\$M	Basis
Specialized platform carrier	98	\$15M EBITDA × 6.5x
6 distressed carriers (Chapter 11 / 363 sales)	63	\$21M norm. × 3.0x
Chapter 7 fleet & yards	20	50–65% of replacement
Turnaround working capital & capex	15	
Fees & expenses	10	
Total	206	5.7x all-in

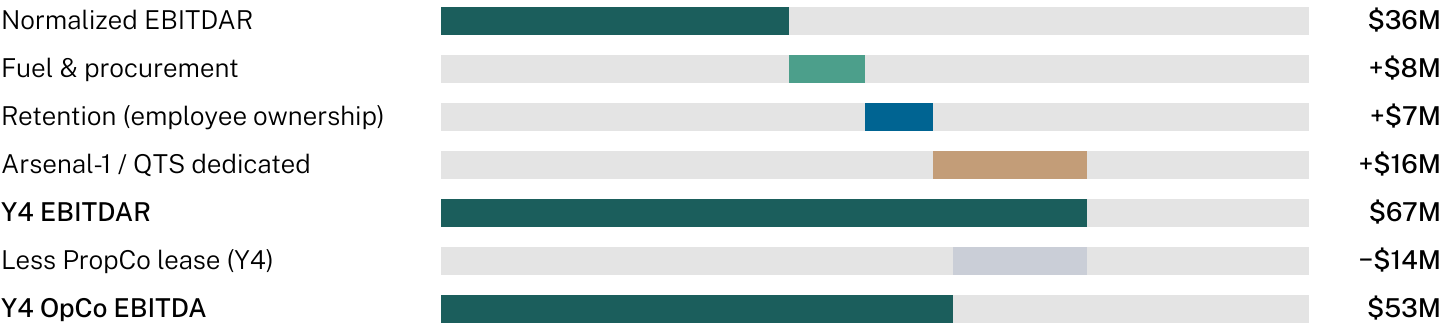
Sources



V Acquisition pathways

Route	Mechanism	Entry	Fund	Before Nov 3?
A. Rescue (DIP) loans	\$5–15M per Chapter 11 carrier at 12–14% plus fees; the loan can be credit-bid as purchase price	Par or ownership via credit bid	Tac Opps	Yes: interim court orders
B. Stalking-horse bids	Opening bid in a court-supervised (363) sale, with break-up fee	2.5–3.5x	Tac Opps	Agreement filed; closes in 30–60 days
C. Chapter 7 assets	Fleet and yards bought from trustees	50–65% of replacement	BIP	Yes
D. Platform	Healthy flatbed / heavy-haul carrier	6–7x	Tac Opps + BIP sale-leaseback	LOI only
E. "Silver Tsunami"	Retiring owner-operators selling to their own drivers through an employee-ownership conversion	3.5–4.5x	Tac Opps	Outreach begins

VI Value creation: Y0 to Y4 EBITDAR (8)



Retention: about 1,500 drivers; turnover falling from 60% to 20% means 600 fewer replacement hires at about \$12k each to recruit, onboard and cover lost utilization.

VII **Returns** (8)

OpCo: Exit A, sale to a strategic or sponsor, 4-year hold

Case	Y4 EBITDAR	OpCo EBITDA	Multiple	Equity value	Employee pool (18%)	Avg / employee	Tac Opps MOIC	IRR
Downside	\$45M	\$31M	6.5x	\$167M	\$30M	\$20k · 4 mo.	2.2x	22%
Base	\$67M	\$53M	8.0x	\$404M	\$73M	\$48k · 9 mo.	5.4x	53%
C.H.I.-style upside	\$90M	\$76M	9.0x	\$669M	\$120M	\$80k · 15 mo.	9.0x	73%

PropCo (BIP)

Y1 lease income	\$13.0M
Less interest and fleet replacement reserve	(\$8.1M)
Y1 cash yield on equity	11.0%
Y4 equity (fleet held, real estate +3%/yr)	\$48.8M
Gross MOIC / IRR	1.6x / 13.7%

Combined Blackstone and Exit B

Combined BX equity in	\$106M
Combined value out (base)	\$402M
Combined MOIC / IRR	3.8x / 41%
Exit B: 100% ESOP at 7.0x (60% cash at close, 40% note over 5 years at 8%)	\$351M
Exit B Tac Opps MOIC / IRR	6.3x / 46%

Under Exit B, employees own 100% of the company and no separate pool is paid. Because a 100% ESOP S-corp pays no federal income tax, the note is serviced from untaxed cash flow. BIP can provide the ESOP's senior acquisition debt.

VIII **Employee ownership program** (5)(6)

Ownership Works pillar	Implementation at the platform
Broad-based equity	Day-one grants to every driver, technician, dispatcher and yard worker; free; no wage or 401(k) trade-off
Financial literacy	Quarterly open-book sessions covering cost per mile, hedge P&L, debt paydown and the value of each share
Voice	Terminal-level driver councils with input on routing, maintenance and safety priorities
Shared success	Pool sized to pay 6–12 months of salary at exit; base case about 9 months on a \$65k average salary

IX **Execution plan: October 5 – November 3**

WEEK 1 · DEPLOY	WEEK 2 · CAPITAL	WEEK 3 · PEOPLE
- Deal team on site in Dayton / Springfield - Screen court filings (PACER) for OH, IN, KY and MI carriers; contact trustees - Coordinate with Ohio Rapid Response on the Navistar workforce - Sign an Ownership Works partnership	- Send rescue (DIP) term sheets to 2–3 carriers - Bid at Chapter 7 fleet auctions (BIP) - Place the diesel hedge - Begin outreach to retiring owners (route E)	- Open the Springfield hiring center - Start the first CDL cohort (WIOA / TechCred funding) - Hold the first open-book session - File the stalking-horse purchase agreement

WEEK 4 · ANNOUNCE

- "\$200M+ committed; every driver and technician an owner"
- Arsenal-1 contractor and QTS LOIs in hand
- Publish the payout target
- Site visit for EEIA sponsors

x **Key risks & mitigants**

Risk	Exposure	Mitigant
Diesel	About 23M gal/yr; each \$1/gal move is about \$23M of EBITDA unhedged	Fuel-surcharge pass-through in all dedicated contracts; hedge 50–70% of 12-month volume. Net exposure about \$5–7M per \$1/gal
Anchor freight	Without Arsenal-1 / QTS volume, this is a commodity roll-up at 5–6x	LOIs required before Phase 2; QTS relationship sits within BIP
Retention	The \$7M retention line funds the 18% pool	Quarterly turnover KPI; vesting tied to tenure
Integration	Six or more carriers acquired out of bankruptcy	Single dispatch, telematics and safety platform; operating partner placed by Week 4
Exit multiple	At 7.0x or below, LP returns compress toward the downside case	Exit B (ESOP) provides a buyer at 7.0x

xI **Cross-fund governance**

- The OpCo–PropCo master lease is priced at arm's length and benchmarked against third-party sale-leaseback quotes. It is reviewed by the conflicts committee before Phase 2.
- QTS contracts with the platform on market terms, with no preferential pricing between BIP-owned entities.
- Allocation between Tac Ops and BIP follows the asset split in Section III and is documented in an inter-fund agreement.

(1) AP, "A gut punch in Ohio: Nearly 1,400 laid off at truck factory," Oct 3, 2026 — [US News](#).

(2) [FreightWaves](#); [Newsweek](#), Sep–Oct 2026.

(3) [NBC4](#), "One year of Arsenal-1"; [Ohio Tech News](#).

(4) [Blackstone press release](#), QTS acquisition by BIP and BREIT, 2021.

(5) "The Ownership Realignment: The Strategic Convergence of Dalio's Macroeconomics and Stavros's Microeconomics," internal research paper.

(6) [Ownership Works](#), C.H.I. Overhead Doors case study.

(7) [NCEO](#), [Employee Equity Investment Act \(H.R. 3383 / S. 1618\)](#). Pending legislation; not in base case.

(8) Deal team model. Illustrative assumptions: about 1,500 employees, \$65k average salary, 4-year hold, gross returns before fees and carry.

(9) [TheStreet](#); [IndexBox](#).

FOR INVESTMENT COMMITTEE DISCUSSION ONLY. DRAFT. FINANCIAL DATA ARE ESTIMATED, UNAUDITED AND ILLUSTRATIVE. NOT FOR DISTRIBUTION.

Note: Figures are model outputs from deal team assumptions (8); the full Excel model follows. BX-TACOPPS-BIP-EQBELT-IC-20261005